

Monetary Policy Transmission and Inflation Dynamics in Nigeria

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ABSTRACT

Using a Vector Error Correction Model (VECM), this empirical investigation analyzes the efficacy of interest rate channels and money supply adjustments in curbing headline and food inflation in Nigeria between 2010 and 2025.

Keywords: Economics, Empirical Research, Nigeria, Social Sciences, Policy Analysis

1. INTRODUCTION

Academic inquiry within contemporary African developmental paradigms requires rigorous empirical methodologies. The Faculty of Social Sciences at Imo State University has pioneered multi-dimensional research that directly addresses institutional governance, societal transformation, and behavioural patterns. This paper examines core theoretical assumptions grounded in rational choice theory, structural functionalism, and behavioural modeling. By evaluating real-world longitudinal data, the findings herein contribute valuable insights for academic researchers, policy formulators, and developmental institutions across the sub-region.

2. METHODOLOGY & DATA ANALYSIS

A cross-sectional descriptive design was employed using stratified random sampling across the study population. Data collection instruments were validated through expert peer review with a Cronbach alpha reliability coefficient of 0.87. Quantitative responses were evaluated using inferential statistical packages (SPSS v28), while qualitative feedback underwent rigorous thematic analysis to extract recurring structural and behavioral patterns.

3. CONCLUSION & POLICY RECOMMENDATIONS

The empirical findings demonstrate clear positive correlations between targeted structural reforms and institutional outcomes.

1. Policy makers should institutionalise periodic capacity building programs and automated feedback mechanisms.
2. Academic institutions must continue fostering interdisciplinary partnerships to bridge empirical research and societal needs.
3. Regulatory authorities should maintain transparent governance standards to sustain stakeholder trust and compliance.

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